CIMA Strategic Case Study

Mock exam 4 (February 2025)

Example Answer

Rotomyne

Example Answer for Task 1

Sub task 1 (a):

Strategic alignment of joint venture

Suitability

Suitability relates to whether the option would address the issues underlined by the organisation's strategic position.

Diversification and long-term growth

The joint venture (JV) with EarthCore represents a significant step in Rotomyne's strategic goal of diversification to reduce dependence on lithium mining. Rare earth elements (REEs) are critical for clean energy technologies, including electric vehicles and wind turbines, with global demand projected to grow by 15% annually. This JV provides access to a lucrative and expanding market, supporting long-term growth.

However, like lithium mining, REE mining carries inherent environmental risks such as waste management and ecosystem disruption that will also need to be considered and addressed if the JV is to proceed.

Alignment with mission, vision and values

The JV aligns with Rotomyne's vision to provide reliable supplies of essential materials while supporting its values of sustainability and innovation. EarthCore's expertise in sustainable mining complements Rotomyne's commitment to operating in an environmentally responsible manner. Additionally, the use of REEs in clean energy technologies demonstrates innovation and reinforces Rotomyne's role in the transition to greener energy.

It is worth bearing in mind that the stringent environmental regulations in Estorra will require Rotomyne to maintain strong oversight to ensure alignment with its mission to operate sustainably and ethically and also avoid any regulatory hurdles or penalties.

Geographic expansion

Entering Estorra through the JV provides Rotomyne with access to a stable and resource-rich region, enhancing its geographic diversification. This reduces reliance on current markets and strengthens operational resilience.

However, Estorra's strict environmental regulations and potential delays in permitting could impact timelines and profitability. Collaborating closely with EarthCore, which has extensive experience in navigating similar challenges, will be critical to ensuring compliance and minimising operational disruptions.

Competitor positioning

REEs are vital for clean energy technologies, and entering this market positions Rotomyne to compete with established suppliers. This move enables Rotomyne to cater to the growing demand for REEs in sustainability industries, helping to retain relevance in the evolving energy landscape.

However, competition from established REE producers with entrenched customer relationships could challenge the JV's market entry. Differentiation through operational efficiencies and leveraging EarthCore's expertise will be key to capturing market share and strengthening Rotomyne's competitive position.

Acceptability

Acceptability concerns the benefits expected by stakeholders, both financial and non-financial and whether these are likely to be gained by the project in reality.

Shareholders

Rotomyne's declining share price and high beta of 1.63 make shareholder acceptability a critical factor in evaluating the JV. The significant upfront investment may heighten shareholder concerns about financial stability.

Institutional investors, who depend on steady dividend payouts, may react negatively to funding strategies that affect income or signal financial strain, potentially leading to further share price declines.

Despite these risks, the JV's projected annual revenues of P$100 million and five-year payback period make a compelling case for long-term shareholder value creation.

The board

The Board is likely to support the JV, given its alignment with Rotomyne's diversification and innovation goals. EarthCore's expertise in sustainable REE extraction provides confidence in operational feasibility.

However, the Board will expect detailed plans addressing regulatory compliance in Estorra and the integration of the JV's reporting systems with Rotomyne's processes. These aspects must be thoroughly addressed to secure Board approval.

Customers

Clean energy customers will likely welcome Rotomyne's entry into the REE market as it broadens the company's product portfolio and supports their own sustainability objectives. The focus on sustainable mining practices through the partnership with EarthCore will appeal to environmentally conscious customers.

We must also bear in mind that any operational delays or environmental controversies could undermine customer trust. Ensuring compliance with regulations and maintaining transparency in JV operations will be crucial to meeting customer expectations and preserving Rotomyne's reputation.

Environmental groups and local communities

Environmental groups and local communities in Estorra may have concerns about the environmental risks associated with REE mining, including toxic waste and habitat disruption. While EarthCore's experience in sustainable practices is a mitigating factor, opposition could arise if these risks are not adequately addressed.

Proactively engaging with local stakeholders and demonstrating a commitment to sustainable and transparent operations will be necessary to gain their ongoing trust and support.

Feasibility

Feasibility looks at how realistic an idea may be in practice, focusing on whether the organisation has the resources to put the option into action.

Financial feasibility

The P$400 million investment requires a combination of internal reserves and external financing to avoid overburdening Rotomyne's liquidity. The projected annual revenue of P$100 million and a five-year payback period support the project's financial viability. However, careful financial planning and periodic reviews will be critical to ensuring the JV's sustainability, particularly in the face of potential market volatility.

Operational feasibility

EarthCore's decade of experience in REE mining and sustainable practices significantly enhances the operational feasibility of the JV. EarthCore will manage daily operations, including compliance with Estorra's stringent environmental regulations, while Rotomyne focuses on strategic oversight and customer relationships.

On the other hand, integrating the JV's reporting systems with Rotomyne's internal processes may pose initial challenges. A robust integration plan and regular performance reviews will be critical to ensuring alignment between both companies' operations and achieving efficiency in decision-making.

Environmental and regulatory feasibility

Operating in Estorra requires adherence to stringent environmental regulations, which may increase compliance costs and pose operational delays. EarthCore's expertise in sustainable mining reduces these risks, but the REE extraction process still poses environmental challenges, such as toxic by-products and ecosystem disruption.

Non-compliance could result in fines or reputational damage, particularly given Rotomyne's stated values of sustainability. Establishing a comprehensive environmental compliance framework and proactive engagement with regulators will be essential to meeting these requirements and maintaining stakeholder trust.

Partnership feasibility

The proposed governance structure, which includes an advisory committee with representation from both Rotomyne and EarthCore, ensures that Rotomyne retains a significant role in the JV's strategic direction.

The proposed structure also minimises potential conflicts by clearly delineating roles, with EarthCore managing operations and Rotomyne providing oversight. However, successful collaboration will require clear communication, alignment of goals and effective conflict resolution mechanisms being in place from the outset. Establishing a detailed partnership agreement that addresses these areas will help ensure the JV operates smoothly and achieves its objectives.

Recommendation

It is recommended that Rotomyne proceeds with the JV alongside EarthCore Mining to develop the REE mine in Estorra. This project aligns with Rotomyne's strategic goals of diversification, innovation and sustainability, offering an opportunity to strengthen its position in the growing clean energy market. The JV also supports Rotomyne's mission and values, particularly by addressing global demand for materials used in sustainability industries while leveraging EarthCore's expertise in environmentally responsible mining.

The financial projections, including annual revenues of P$100 million and a five-year payback period, demonstrate the JV's viability, while EarthCore's operational experience mitigates risks associated with Estorra's stringent regulatory environment. However, the success of the project depends on addressing key challenges, including compliance, integration of reporting systems and effective collaboration with EarthCore.

To maximise the JV's benefits and minimise risks, Rotomyne should establish a robust governance framework to ensure its alignment with strategic goals and operational efficiency, develop a proactive environmental compliance plan to meet Estorra's regulatory requirements, and ensure seamless integration of the JV's reporting systems with Rotomyne's internal processes to facilitate decision-making and maintain transparency for the Board and shareholders.

With these measures in place, the JV has the potential to deliver substantial strategic and financial value, positioning Rotomyne for long-term success in a critical and expanding market.

Sub task 1 (b):

Financing options

Cash reserves

Rotomyne's cash reserves of P$857 million provide an opportunity to fund the JV without incurring additional liabilities. This would avoid the financial strain of debt servicing and eliminate the risk of shareholder dilution associated with equity financing. Additionally, internal funding demonstrates financial strength, reinforcing confidence in Rotomyne's ability to deliver on strategic objectives without external support.

However, allocating nearly 50% of reserves to this single project would significantly reduce Rotomyne's financial flexibility. It could limit Rotomyne's capacity to invest in future opportunities or address unforeseen challenges, such as economic downturns or operational issues. Furthermore, with 2024 profits already down 21.7% compared to 2023, depleting cash reserves may signal an overly aggressive risk appetite to investors.

While cash financing ensures no impact on Rotomyne's gearing ratio of 103.9%, it raises questions about liquidity. A large outflow could reduce the company's ability to maintain current operations, particularly given Estorra's stringent regulatory requirements, which may lead to unforeseen delays and costs. Maintaining a buffer for these kinds of risks and future projects is critical to sustaining long-term competitiveness.

Debt financing

Debt financing could provide a balanced approach by diversifying funding sources while preserving liquidity. With current borrowings of P$5,000 million and a gearing ratio of 103.9%, additional debt would need to be carefully structured to avoid excessive leverage.

Moderate borrowing of P$150 million, combined with cash financing, would minimise the impact on gearing while taking advantage of current interest rates. Additionally, debt financing allows Rotomyne to maintain its consistent dividend policy, a critical factor in preserving institutional investor confidence.

However, the already high gearing ratio may raise concerns among shareholders and credit rating agencies, potentially increasing borrowing costs in the future. Rotomyne's declining share price also indicates heightened market sensitivity, making careful structuring of the debt critical to avoid perceptions of financial instability. To mitigate these risks, Rotomyne should explore long-term loan options with fixed interest rates to provide cost predictability and ensure debt servicing costs remain manageable, given projected JV revenues of P$100 million annually.

Equity financing

Equity financing through a rights issue could raise the required funds while strengthening Rotomyne's balance sheet. However, this approach is less attractive due to the company's declining share price and high beta of 1.63, which signal heightened volatility and reduced market confidence. Issuing equity at current valuations risks significant dilution of shareholder value, which could deepen dissatisfaction among institutional investors.

Institutional shareholders, such as pension funds, rely on consistent returns and proportional ownership. Equity financing undermines these priorities, potentially triggering share sell-offs and exacerbating the current share price decline. Furthermore, rights issues are time-consuming and costly, making this option impractical for a project requiring swift execution.

Given these factors, equity financing should be considered only as a last resort if cash and debt options are insufficient.

Dividend policy and shareholder considerations

Rotomyne's dividend payout ratio reflects the importance of consistent returns to institutional shareholders, such as pension funds, who rely on a steady income. Reducing dividends to fund the JV could lead to dissatisfaction among investors, triggering share sell-offs and further declines in Rotomyne's share price. Maintaining dividends while leveraging other funding sources, such as cash reserves and debt, would preserve shareholder confidence and support the company's long-term valuation.

Institutional shareholders are likely to support the JV if its funding does not compromise their dividends. Regular communication with shareholders about the strategic importance of the JV, its financial viability and the funding approach is essential to mitigating concerns and maintaining trust.

Recommendation

It is recommended that Rotomyne finances the JV using a combination of cash reserves and debt. This approach will leverage our strong liquidity while preserving financial flexibility for any future initiatives we wish to undertake. Specifically, P$250 million could be allocated from cash reserves, with the remaining P$150 million funded through a long-term loan or similar debt instrument.

Importantly, this balanced strategy will ensure that Rotomyne can maintain its dividend policy, which is critical for retaining institutional investor confidence, while mitigating concerns over excessive gearing or share dilution.

Debt servicing costs will be manageable, given the projected annual revenues of P$100 million and the five-year payback period, ensuring the JV remains financially sustainable.

To support this funding approach, Rotomyne must create a robust communication strategy, particularly for our shareholders and credit stakeholders. This strategy should emphasise the

JV's alignment with our strategic goals, its strong financial returns and Rotomyne's commitment to maintaining financial stability.

Additionally, Rotomyne should ensure quarterly updates on the JV's progress, which will help demonstrate that we intend to maintain transparency with our stakeholders and it will also help to reinforce confidence in Rotomyne's leadership and vision.

Example Answer for Task 2

Sub task 2 (a):

Key weaknesses in the compliance control environment

Inconsistent emissions reporting

Rotomyne's regional sites use varying metrics for emissions reporting, resulting in discrepancies in consolidated figures. For example, emissions exceeded legal limits by 20% in one region but were underreported centrally, exposing the company to regulatory penalties.

These inconsistencies indicate a lack of standardised processes and weak oversight across the reporting framework. Such inaccuracies undermine trust with regulators and stakeholders, including EarthCore, which requires confidence in Rotomyne's compliance capabilities.

If these kinds of issues are allowed to continue unabated, more stringent measures might be taken by regulators and other authorities either directly against Rotomyne or against the industry as a whole.

Delayed environmental impact assessments

In Dromera, a two-year delay in submitting required environmental assessments reflects poor oversight and inadequate communication between site teams and compliance leaders. Environmental impact assessments are critical for identifying potential ecological damage and ensuring compliance with regulatory frameworks. Delays increase scrutiny from authorities, harm Rotomyne's reputation and could jeopardise the JV in Estorra, where regulators are stricter and less tolerant of lapses.

If senior management in Rotomyne is seen to tacitly accept lapses and delays like these, managers across the business might also be led to believe that such behaviour is permissible or even desired, when it is actually unacceptable.

Non-compliance fines and operational penalties

Improper waste disposal in Lativia resulted in a P$2 million fine and mandatory operational changes, which incurred further costs, all which highlights the damage that can result from inadequate monitoring and reactive risk management.

These penalties not only damage Rotomyne's financial standing but also our credibility, raising concerns about our ability to meet Estorra's exacting environmental standards. Such failures might also strain our relationship with EarthCore, which could potentially start to question Rotomyne's suitability as a JV partner.

Lack of training and guidance

Based on the audit findings, it appears that site-level teams lack adequate training on evolving environmental regulations, leaving compliance responsibilities unclear. This gap has contributed to errors and delays in meeting reporting requirements, particularly in regions with stricter standards.

Without clear guidance, compliance risks are highly likely to persist, complicating Rotomyne's ability to operate effectively in Estorra.

Limited audit coverage

The internal audit team evidently lacks the capacity to conduct frequent reviews across all sites, with some high-risk regions left unaudited for over two years, hence the Dromera site's failure to submit the required environmental assessment for two years remaining unchecked.

This limited, reactive approach prevents the early identification of systemic issues, increasing the risk of fines, operational disruptions and reputational damage. Expanding our audit coverage is essential to proactively addressing these risks and reassuring EarthCore of Rotomyne's readiness for the JV and our commitment to effective governance and sustainability.

Recommendations to strengthen the control environment

Implement standardised reporting systems

Introducing a centralised compliance platform to integrate site-level data into a unified system should help to flag up discrepancies through automated checks and also ensure emissions data aligns with the local legal limits. Further, site-specific metrics should be set so that they align with global standards in order to maintain consistency.

When these systems are rolled out, dedicated training sessions will need to be run in order to ensure staff understand how to use the systems effectively and to minimise errors during their usage.

Enhance environmental compliance training

Launching targeted training programs for regional teams should help to ensure that they understand the applicable local and international regulations. These training programs should be designed to address the specific compliance failures identified in the audit, such as delayed assessments, as well as other potential problem areas.

Refresher courses should also be held annually, focusing on high-risk regions like Lativia and Dromera. Also, we should consider offering incentives to encourage participation and engagement in the training, which should help build a compliance-oriented culture across Rotomyne.

Expand internal audit coverage

We should appoint compliance officers at each site in order to oversee adherence to the relevant environmental standards. These officers will be responsible for timely submissions of impact assessments and coordinating with central compliance teams, and they will need to be trained in local and international regulations as well as any further standards we set beyond those applicable regulations.

There will also need to be clear reporting lines to the Chief Internal Auditor, who will ensure issues are escalated effectively.

Establish proactive engagement with regulators

We should establish a dedicated regulatory liaison team to address local compliance requirements in Estorra and other regions. Regular updates to regulators on progress in addressing audit findings will help us to build trust and reduce the risk of further penalties.

We should also consider actively collaborating with regulatory authorities. Collaborative efforts, such as joint reviews or audits, could help us to demonstrate Rotomyne's commitment to sustainability to these authorities.

Develop KPIs for compliance monitoring

It is vital that we introduce key performance indicators (KPIs) to track emissions levels, audit completion rates and adherence to reporting deadlines along with other relevant environmental compliance control metrics. Examples of metrics might include the percentage of timely submissions and the frequency of regulatory breaches.

The implemented KPIs should be reviewed quarterly by the Board to ensure continuous improvement and accountability.

Sub task 2 (b):

Stakeholder analysis and recommendations

Estorra's regulators

Interest

Estorra's regulators have a high interest in Rotomyne's compliance performance because they are tasked with protecting the country's natural resources and ensuring that mining activities meet strict environmental standards. Their request for detailed compliance plans demonstrates their commitment to holding mining companies accountable.

For the JV to proceed, Rotomyne must align with their expectations, which include timely reporting, transparent operations and robust mitigation strategies.

Power

Estorra's regulators wield significant power due to their ability to grant or withhold project approvals, enforce environmental standards and impose penalties for non-compliance.

The regulator's influence extends beyond their direct regulatory actions against us, as any penalties or delays they levy against us could harm Rotomyne's reputation and affect its relationship with EarthCore. Additionally, the regulators' high-profile oversight amplifies scrutiny from other stakeholders, including investors and local communities, so any failings could spark further interest or consequences from other affected stakeholders, making compliance a critical factor for the JV's success.

Recommendations

The regulators, with their high levels of interest and power, would be considered Key Players on Mendelow's Matrix, which recommends such stakeholders should receive regular communications and their objectives should be involved as part of the strategy-setting process. This would seem to be an appropriate stakeholder manager strategy here.

Rotomyne should establish a regulatory liaison team to engage with Estorra's regulators proactively. This team should provide detailed compliance plans addressing audit findings and Estorra's specific requirements.

Regular progress updates and collaborative reviews will build trust and demonstrate Rotomyne's commitment to meeting environmental standards. Additionally, Rotomyne could invite regulators to participate in environmental audits or joint initiatives, such as sustainability workshops, to strengthen transparency and foster a collaborative relationship.

Local Communities and Advocacy Groups

Interest

Local communities in Estorra have a high interest in ensuring that REE mining operations do not harm their environment or disrupt their livelihoods. Advocacy groups amplify these concerns by drawing attention to specific issues, such as pollution or habitat destruction, which are common risks associated with mining.

Given Rotomyne's recent compliance failures, such as improper waste disposal in Lativia, communities may be particularly sceptical of our ability to operate responsibly. Addressing their concerns is essential for gaining public support and maintaining the JV's social license to operate.

Power

Local communities and advocacy groups lack formal decision-making authority but can potentially exert significant indirect power through protests, media campaigns and public pressure.

Negative publicity stemming from these groups can also attract regulatory scrutiny, disrupt operations and harm Rotomyne's reputation, potentially impacting investor confidence. For example, failure to address community concerns in Estorra could delay the JV's progress or lead to stricter regulatory oversight, increasing project costs and risks.

Recommendations

Similar to the regulators, the public, and particularly the advocacy groups, would be considered Key Players, and should be managed accordingly. As such, Rotomyne should prioritise transparent communication with local communities by organising town hall meetings and sharing detailed environmental impact reports.

Partnering with advocacy groups on sustainability initiatives, such as reforestation or water management projects, will demonstrate a genuine commitment to addressing environmental concerns. Additionally, appointing community liaison officers, to provide ongoing regular updates and respond to concerns promptly, will help build trust and mitigate resistance. Such efforts will ensure that the JV operates with public support and maintains its social license to operate.

Example Answer for Task 3

Sub task 3 (a):

Evaluate reputational, regulatory, and operational Risks

Reputational risks

Loss of trust from clean energy customers

One significant reputational risk is the potential loss of trust from clean energy customers. These customers, who prioritise environmentally responsible suppliers, may question Rotomyne's sustainability commitments and reduce their orders.

To mitigate this risk, Rotomyne should adopt a proactive communication strategy. This includes issuing public apologies, providing transparent updates on investigation outcomes, and outlining a detailed plan for implementing stronger environmental safeguards. Collaborating with customers to reaffirm shared sustainability goals will help restore confidence.

It should be noted that any apologies and communications must be carefully planned so as not to imply culpability where it does not actually exist, as this could exacerbate both the reputational and legal risks we are facing.

Activist and media backlash

Another reputational risk stems from activist and media backlash, as environmental groups may seek to amplify the disaster's visibility and damage Rotomyne's brand image globally.

To counteract this, Rotomyne should partner with reputable environmental organisations to demonstrate its commitment to restoration. Funding projects such as water purification and wildlife recovery in Estorra will showcase corporate responsibility and help rebuild the company's public image.

Regulatory risks

Penalties and legal actions

One regulatory risk involves penalties and legal actions from Estorran authorities, including fines, operational suspensions or potential criminal charges. The Investment Times has reported that the Estorran regulatory authorities are already investigating both us and EarthCore for criminal negligence.

To address this, Rotomyne must fully cooperate with government inquiries, providing all necessary documentation and access. Furthermore, by submitting a detailed remediation plan that addresses the safety failures and outlines preventive measures, we can demonstrate accountability and commitment to compliance.

Increased scrutiny across other jurisdictions

A second regulatory risk is increased scrutiny across other jurisdictions where Rotomyne operates. Regulators in these regions may question our overall compliance standards, exposing us to additional investigations and potentially further penalties. Given the findings of the compliance audit several months ago, it would be much better for Rotomyne to avoid unnecessary regulatory scrutiny while we are implementing corrective measures and improving our overall compliance standards.

To mitigate the risk of this increased scrutiny, Rotomyne should conduct a global compliance review to identify and address any remaining systemic weaknesses. Strengthening compliance teams and establishing a centralised reporting system will help to ensure uniform adherence to regulatory requirements across all regions.

Proactively taking steps like these will also help to demonstrate that we take our compliance responsibilities very seriously and that we hold ourselves to a high standard.

Operational risks

Disruption to JV production

The first operational risk is the disruption to the JV's production caused by the incident. The suspension of operations will delay revenue generation and increase clean-up and recovery costs, directly impacting the JV's financial stability.

To mitigate this, Rotomyne should temporarily suspend production at the JV site for a thorough safety review and corrective action plan. After the site is safe to proceed, and pending any regulatory oversight or independent inspections, we can then resume operation.

Strained relations with EarthCore

The second operational risk arises from strained relations with EarthCore, as the incident and allegations against their COO could erode trust between the partners. There could also be the related risk of EarthCore attempting to distance itself from us and assign undue blame to Rotomyne for the disaster in order to shield itself.

To address this, Rotomyne should convene an emergency advisory committee meeting to review EarthCore's governance practices and agree on immediate improvements. Renegotiating the terms of the JV to enhance oversight mechanisms and define clear escalation procedures will strengthen accountability and ensure the partnership's long-term stability.

We must also ensure that meetings with senior figures at EarthCore help to re-establish trust and a spirit of cooperation rather than blame.

Sub task 3 (b):

Analyse ethical dilemmas

Whistleblower allegations

Prioritisation of production over safety

The whistleblower's claim that EarthCore's COO ignored warnings about the dam's structural issues and omitted them from regulatory reports indicates a severe ethical breach. By prioritising production timelines over safety and environmental integrity, EarthCore's actions directly conflict with Rotomyne's values of acting honestly and operating in a sustainable manner.

This raises significant concerns for stakeholders, including regulators, customers and investors, who may perceive Rotomyne as complicit in EarthCore's misconduct if decisive action is not taken on our side.

Transparency and accountability

To address the allegations, Rotomyne must commission an independent investigation into the allegations. This investigation should be conducted by a neutral third party to ensure transparency and accountability, with findings made publicly available.

Publicising the results will demonstrate Rotomyne's commitment to ethical practices and help to rebuild trust with key stakeholders. Decisive actions, such as requiring EarthCore to dismiss the COO if the allegations are substantiated, will reinforce Rotomyne's credibility and distance it from the misconduct.

Whistleblower protection and corporate culture

The allegations also expose weaknesses in whistleblowing protection and governance at the JV and within Rotomyne. The whistleblower should have been enabled to report their concerns internally in such a way that misconduct, as alleged against the EarthCore COO, could be escalated and addressed internally before it could lead to a crisis like we are now facing or without the whistleblower needing to go to the press in order to achieve results.

Rotomyne must support the whistle blower publicly, demonstrating its commitment to integrity and ensuring individuals feel protected when raising ethical concerns. Implementing a formal whistleblowing framework that guarantees anonymity and protection will align with global best practices, foster a culture of accountability and reassure employees and stakeholders of Rotomyne's ethical standards.

Rotomyne must also act to reinforce the expectations of its leadership regarding the organisation's culture, so that no one within the business mistakenly believes that misconduct will be tolerated or accepted as has been alleged against the EarthCore COO.

The cultural risk from this misapprehension can be addressed through direct communications internally or externally regarding the incident. Our other remedial actions in the wake of the crisis, such as our support of the whistleblower and greater focus compliance, should also be planned with consideration for how they might positively influence the company culture towards our stated values, particularly integrity, ethics and sustainability.

Governance weaknesses in the JV

Lack of oversight and accountability

The whistleblower allegations expose critical weaknesses in the JV's governance structure, particularly EarthCore's operational control and lack of sufficient oversight from Rotomyne.

This imbalance has contributed to governance failures, including omissions in regulatory reporting and insufficient safety measures. Such weaknesses undermine Rotomyne's ability to uphold its values of accountability and transparency, increasing reputational and operational risks.

Improving governance mechanisms

To address these issues, Rotomyne should renegotiate the JV agreement to include enhanced governance mechanisms. Establishing a joint ethics and compliance committee, with equal representation from both partners, would provide a platform for proactive oversight of regulatory and ethical matters. This committee should have clear reporting lines to the Board and the authority to enforce compliance, ensuring that both companies adhere to shared values and ethical standards.

Strengthening Rotomyne's role in decision-making

Additionally, Rotomyne must strengthen its role in strategic and operational decision-making within the JV. This includes requiring dual sign-offs for critical safety and compliance decisions to prevent unilateral actions by EarthCore. Introducing quarterly governance reviews will allow Rotomyne to assess ongoing risks, align both parties' objectives, and address emerging ethical concerns in a timely manner.

Impact on local communities

Harm to livelihoods and ecosystems

The tailings dam failure has caused extensive damage to the Estorra River, contaminating drinking water, destroying agricultural livelihoods and endangering local wildlife. This environmental disaster disproportionately affects vulnerable communities that rely on these resources for their survival. Failing to address these impacts would contradict Rotomyne's commitment to sustainability and undermine its social license to operate in Estorra and other regions.

Engaging with affected communities

Rotomyne must take immediate action to support the affected communities. This includes providing clean water supplies, compensating farmers for lost income and funding ecological restoration projects to rehabilitate the damaged river and surrounding areas.

Establishing an advisory group composed of local leaders and environmental advocates will ensure that community concerns are addressed transparently and collaboratively, fostering trust and goodwill.

Long-term accountability and collaboration

Beyond immediate relief, Rotomyne should demonstrate long-term accountability by partnering with reputable environmental organisations to implement sustainable recovery initiatives. Co-developing these programs with local stakeholders will help rebuild relationships and show genuine commitment to repairing the harm caused. These efforts will also reinforce Rotomyne's standing as an ethical and responsible organisation within the clean energy sector.